

MACRO INTELLIGENCE AGENT — NIGHTLY BRIEFING

2026-07-03 | Runic Agent v2.2 | Internal use only

COMBO F — Recovery · Week 14 of 26 (MEDIUM) · started 2026-04-03

POSTURE: TACTICAL EASY MONEY

Combo F active (week 14, MEDIUM (started 2026-04-03)). 79% 6M hit rate. Outranks Combo E (19% 12M) on PRIORITY and horizon fit.

COMBO STATUS

Combo	Status	Duration	Direction	Hit Rate	Avg Return
A — Liquidity	INACTIVE	—	BEARISH	83.3% (6M)	+6.7% (6M)
B — Capitulation	WATCH	—	BULLISH	79.8% (3M)	+5.0% (3M)
C — Stagflation / Energy Shock	CANCELLED	cancelled 2026-07-03	BEARISH	0.0% (6M)	+17.8% (6M)
D — FOMO Top	INACTIVE	—	BEARISH	38.5% (5D)	+0.2% (5D)
E — Valuation Extreme	CONFIRMED	— · legs CAPE, NFCI	BEARISH	18.9% (12M)	+10.9% (12M)
F — Recovery	ACTIVE	Week 14 of 26 (MEDIUM) · started 2026-04-03	BULLISH	78.8% (6M)	+5.5% (6M)
G — Hidden Stress	INACTIVE	—	BEARISH	N/A	N/A

CURRENT REGIME STATE

FED CYCLE CUTTING_LATE	YIELD CURVE NORMAL	GEOPOLITICAL REGIONAL_WAR
VALUATION EXTREME CAPE 42.70x	LIQUIDITY NEUTRAL	SSI 1.00x (CONFIRMED)

MACRO INTELLIGENCE BRIEFING

Combo F (Recovery) drives market positioning in week 14 of its MEDIUM duration episode, anchored by CAPE at 42.7 (99th percentile) creating extreme valuation tension against Fed accommodation. The 79% 6m hit rate and +5.5% average return profile overwhelms competing signals through superior horizon alignment and priority ranking over Combo E's distant 12m setup.

Combo F Recovery remains ACTIVE since April 3rd with 79% 6m hit rate, positioning bullishly for SPX on Fed cutting cycle momentum despite valuation headwinds. Combo E Valuation Extreme stands CONFIRMED with CAPE and NFCI legs active, showing 19% 12m hit rate but +10.9% average return when successful, creating structural bearish pressure at longer horizons. Combo B Capitulation holds WATCH status with no active triggers, monitoring for potential volatility-driven entry conditions.

The dominant Recovery signal prevails on three factors: (1) NFCI at -0.494 (41st percentile) confirms financial conditions remain accommodative despite geopolitical stress, supporting risk asset performance through the Fed's late-cycle cutting phase, (2) GSR at 7.14 (92nd percentile) signals flight-to-quality demand that historically reverses sharply during recovery phases, creating favorable momentum conditions, and (3) the CUTTING_LATE Fed regime with NORMAL curve structure at 38bp creates optimal monetary transmission for equity performance over 6m horizons.

The July 2019 setup provides the closest analog when CAPE exceeded 30 during Fed accommodation with similar geopolitical tensions, generating SPX returns of +4.1% at 3m, +8.7% at 6m, and +12.2% at 12m. March 2009 Recovery activation during financial stress delivered +15.3% at 3m, +23.8% at 6m, and +41.2% at 12m, though current credit

conditions remain far more stable. October 2016's late-cycle cutting environment produced +2.8% at 3m, +7.9% at 6m, and +14.7% at 12m with comparable valuation stress.

System posture remains TACTICAL EASY MONEY. Posture shifts require: (1) NFCI rising above -0.20 for three consecutive weeks, indicating tightening financial conditions, (2) VIX sustaining above 25 for five trading days with VXTS term structure inverting below 0.95, signaling systematic stress emergence, or (3) Fed pivot signals through 10Y2Y curve inversion below -25bp coincident with high yield spreads exceeding 350bp.

LIVE VARIABLE DASHBOARD

#	Variable	Current	Tier	3yr Pctile	Signal	Combos
1	NFCI	-0.49	NORMAL	41%	DOWN	A,E
2	HY	2.74	NORMAL	11%	DOWN	A,B,F,G
3	WALCL	0.03	NORMAL	51%	UP	A,C
4	CNH	-0.90	NORMAL	19%	DOWN	A,G,C
5	WTI	-5.11	NORMAL	25%	DOWN	C
6	VIX	21.51	NORMAL	70%	UP	B,G,D
7	VXTS	1.01	NORMAL	15%	DOWN	G,D
8	CFTC	-503509.00	EXTREME	65%	DOWN	E,B,F,D
9	CURVE	38.00	NORMAL	33%	DOWN	A,E
10	CPI	0.00	NORMAL	44%	DOWN	C
11	GSR	7.14	RARE	92%	UP	A
12	CAPE	42.70	EXTREME	99%	UP	E

SYSTEM RECOMMENDATION

TACTICAL EASY MONEY — Combo F recovery window active; hold/add tactically per conviction. Respect Combo C if also active.